

Value Chain Analysis

The value chain analysis framework was first described by Michael Porter in 1985, in his book **Competitive Advantage**. This book primarily focuses on analysis at the company-specific level. But, with time, the model has evolved into something that is used for analysis at the industry-specific level as well.



At the company level,

The model is used to identify activities that create a source of differentiation or cost saving with respect to competitors. The value chain represents generic internal activities that a firm engages in to transform inputs into outputs.

At the industry level,

The value chain is used to understand the way of doing business and the way value is delivered by the industry. Company-specific activities are eliminated and the entire process of value creation and delivery is understood. Value chain analysis at the industry level allows the process flow to be mapped. It shows the major activities carried out by a majority of the firms in the industry.



Industry's Value Chain

This is a general flow of activities for each industry. Steps and activities relating to each level in the production process must be listed down.

The industry's value chain is a generic set of activities done at each stage—right from procurement of raw materials to the activities done after the sale (after-sales service once the sale is made).